

Master Services Agreement - Negotiated Draft v4

Acme Technologies, Inc. and Northstar Health System | Effective Date: July 31, 2026 | CLM-2026-Northstar

This Master Services Agreement (the **Agreement**) is entered into as of July 31, 2026 (the **Effective Date**) by and between Acme Technologies, Inc., a Delaware corporation with offices at 500 Market Street, San Francisco, California 94105 (**Acme**), and Northstar Health System, a Minnesota nonprofit corporation with offices at 1000 Health Plaza, Minneapolis, Minnesota 55401 (**Customer**). Acme and Customer may each be a **Party** and together the **Parties**.

RECITALS

A. Acme provides hosted robotics operations, workflow analytics, implementation, support, and related professional services. B. Customer operates healthcare facilities and wishes to use the Services for operational workflows. C. The Parties intend that each Order Form and Statement of Work executed under this Agreement will be governed by these terms.

1. DEFINITIONS

1.1 **Affiliate** means an entity that directly or indirectly controls, is controlled by, or is under common control with a Party. **Authorized User** means an employee, contractor, or agent whom Customer permits to use the Services. **Customer Data** means data submitted to or collected by the Services on Customer's behalf. **Documentation** means Acme's then-current user documentation. **Order Form** means an ordering document signed by both Parties. **Professional Services** means implementation, configuration, training, and advisory services described in a Statement of Work. **Services** means the hosted services, support, and Professional Services identified in an Order Form.

1.2 **Protected Health Information** or **PHI** has the meaning assigned under HIPAA. **Security Incident** means confirmed unauthorized access to or acquisition, use, disclosure, alteration, or destruction of Customer Data in Acme's possession or control, excluding unsuccessful attempts that do not compromise Customer Data.

2. ORDERING; PRIORITY

2.1 Customer may purchase Services through mutually executed Order Forms. An Affiliate may enter into its own Order Form, in which case that Order Form creates a separate agreement between Acme and that Affiliate.

2.2 In the event of conflict, the following order controls: (a) a Business Associate Agreement solely for PHI; (b) a Data Processing Addendum solely for personal data; (c) an Order Form; (d) a Statement of Work; (e) this Agreement; and (f) the Documentation. A lower-priority document overrides a higher-priority document only when it identifies the provision being overridden.

3. SERVICES AND USE RIGHTS

3.1 Subject to Customer's payment of applicable fees and compliance with this Agreement, Acme grants Customer a limited, non-exclusive, non-transferable right during the applicable subscription term to access and use the Services for Customer's internal business operations.

3.2 Customer will not: (a) sell, resell, sublicense, or provide the Services to a third party except Authorized Users; (b) reverse engineer the Services except to the extent a restriction is prohibited by law; (c) use the Services to develop a competing product; (d) bypass usage limits or security controls; or (e) upload unlawful content or malicious code.

3.3 Acme may use subcontractors to perform the Services but remains responsible for their performance. Acme will provide at least thirty days' prior notice before appointing a new subprocessor that will process Customer personal data.

4. CUSTOMER RESPONSIBILITIES

4.1 Customer is responsible for Authorized Users, the accuracy and legality of Customer Data, obtaining required notices and consents, and configuring access permissions. Customer will maintain reasonable administrative safeguards for credentials and promptly notify Acme of suspected unauthorized use.

4.2 Customer will not submit PHI until the Parties execute a Business Associate Agreement and complete the security implementation checklist. Customer remains responsible for determining whether the Services are appropriate for a regulated workflow and for all clinical or operational decisions.

5. PROFESSIONAL SERVICES

5.1 Each Statement of Work will identify scope, assumptions, dependencies, personnel, milestones, fees, and acceptance criteria. Unless otherwise stated, deliverables are accepted when Customer confirms acceptance or fails to provide a reasonably detailed rejection notice within ten business days after delivery.

5.2 Changes to scope, schedule, or assumptions require a written change order signed by authorized representatives. Acme is not responsible for delays caused by Customer's failure to provide timely access, decisions, data, or personnel.

6. FEES, INVOICING, AND TAXES

6.1 Customer will pay the fees stated in each Order Form. Subscription fees are invoiced annually in advance and Professional Services monthly in arrears unless the applicable Order Form states otherwise. Undisputed amounts are due forty-five days from invoice date.

6.2 Customer may withhold a disputed amount if it provides written notice describing the dispute before the due date and pays all undisputed amounts. The Parties will work in good faith to resolve invoice disputes within thirty days.

6.3 Fees exclude sales, use, value-added, and similar transaction taxes. Customer is responsible for such taxes except taxes based on Acme's net income, property, or employees. Acme will reasonably cooperate with valid exemption documentation.

NORTHSTAR REDLINE: Customer requests Net 90 payment terms and a unilateral right to offset any alleged damages, credits, or refunds against amounts invoiced by Acme.

7. SERVICE LEVELS AND SUPPORT

7.1 Acme will provide support and service levels described in the applicable Order Form. Scheduled maintenance announced at least five business days in advance and emergency maintenance are excluded from availability calculations.

7.2 Service credits are Customer's sole monetary remedy for a service-level failure and will not exceed twenty percent of the monthly subscription fees for the affected Service.

NORTHSTAR REDLINE: Customer proposes uncapped service credits, a full monthly refund for availability below 99.5 percent, and termination rights after any two failures in a rolling six-month period.

8. DATA OWNERSHIP AND USE

8.1 As between the Parties, Customer owns Customer Data. Customer grants Acme a limited right to host, copy, transmit, display, and otherwise process Customer Data only as necessary to provide, secure, support, and improve the Services and as otherwise instructed by Customer.

8.2 Acme may generate and use aggregated or de-identified information that cannot reasonably identify Customer, an Authorized User, or an individual. Acme will not sell Customer Data or use Customer Data to train a generally available artificial intelligence model without Customer's prior written consent.

8.3 Upon expiration or termination, Customer may export Customer Data for thirty days. Acme will delete remaining Customer Data within sixty days after the export period, except for backup copies deleted through normal retention cycles or data retained as required by law.

9. PRIVACY AND REGULATED DATA

9.1 The Data Processing Addendum is incorporated when Acme processes personal data on Customer's behalf. If Customer authorizes PHI processing, the Parties will execute a Business Associate Agreement before PHI enters the production Services.

9.2 Acme will process Customer Data only in documented accordance with this Agreement and Customer's lawful instructions. Acme will reasonably assist Customer with data subject requests, regulatory inquiries, and data protection impact assessments relating to the Services.

10. INFORMATION SECURITY

10.1 Acme will maintain a written information security program with administrative, technical, and physical safeguards appropriate to the nature of Customer Data, including encryption in transit and at rest, least-privilege access, logging, vulnerability management, annual penetration testing, workforce training, and incident response.

10.2 Acme will notify Customer without undue delay, and in no event later than seventy-two hours after confirming a Security Incident. Notice will include known details concerning the nature, scope, affected data, mitigation, and corrective action, subject to ongoing investigation and law-enforcement restrictions.

10.3 Once annually, Acme will provide its then-current SOC 2 Type II report and penetration-test executive summary under reasonable confidentiality restrictions. Additional audits require reasonable advance notice, must avoid disruption, and are at Customer's expense unless they reveal a material breach.

NORTHSTAR REDLINE: Customer requests notice within twelve hours after any suspected event, direct participation in Acme's forensic investigation, and unlimited on-site audits by Customer and its regulators.

11. CONFIDENTIALITY

11.1 Confidential Information means nonpublic information disclosed by a Party that is marked confidential or should reasonably be understood as confidential. It excludes information the recipient can demonstrate was lawfully known without restriction, independently developed, rightfully received from a third party, or publicly available without breach.

11.2 The recipient will use Confidential Information only to perform or exercise rights under this Agreement and protect it using at least reasonable care. Disclosure is permitted to personnel and advisers with a need to know who are bound by confidentiality obligations at least as protective as these terms.

12. INTELLECTUAL PROPERTY

12.1 Acme and its licensors own the Services, Documentation, technology, methods, templates, improvements, and all related intellectual property rights. No rights are granted except as expressly stated.

12.2 Customer owns Customer Data and Customer-specific materials supplied to Acme. Upon full payment, Customer receives a perpetual, non-exclusive license to use deliverables created specifically for Customer under a Statement of Work, excluding Acme technology, tools, know-how, and reusable components.

12.3 If Customer provides suggestions or feedback, Acme may use them without restriction or obligation, provided Acme does not identify Customer as the source without permission.

13. WARRANTIES

13.1 Each Party warrants that it has authority to enter into this Agreement. Acme warrants that the Services will materially conform to the Documentation and Professional Services will be performed in a professional and workmanlike manner. Customer's exclusive remedy is correction or reperformance; if Acme cannot cure a material breach, Customer may terminate the affected Service and receive a refund of prepaid unused fees.

13.2 Except for the express warranties in this Agreement, the Services are provided as is and Acme disclaims implied warranties of merchantability, fitness for a particular purpose, title, and noninfringement to the maximum extent permitted by law. Acme does not warrant uninterrupted or error-free operation or that artificial intelligence output will be complete or suitable for a legal, clinical, or financial decision.

14. MUTUAL INDEMNIFICATION

14.1 Acme will defend Customer against a third-party claim that Customer's authorized use of the Services infringes a United States patent, copyright, or trademark and will pay damages finally awarded or agreed in settlement. Acme may modify or replace the affected Service or terminate it and refund prepaid unused fees if continued use is commercially unreasonable.

14.2 Customer will defend Acme against third-party claims arising from Customer Data, Customer's unlawful use of the Services, or Customer's breach of Section 3.2, and will pay damages finally awarded or agreed in settlement.

14.3 Indemnification requires prompt notice, control of the defense by the indemnifying Party, and reasonable cooperation. A settlement may not admit fault by or impose nonmonetary obligations on the indemnified Party without its consent.

15. LIMITATION OF LIABILITY

15.1 Except for Excluded Claims, each Party's aggregate liability arising out of or relating to this Agreement will not exceed fees paid or payable under the affected Order Form during the twelve months preceding the event giving rise to liability.

15.2 Neither Party will be liable for lost profits, revenues, goodwill, or data, or for indirect, special, incidental, consequential, exemplary, or punitive damages, even if advised of their possibility.

15.3 Excluded Claims means a Party's fraud, willful misconduct, breach of confidentiality, infringement or misappropriation of the other Party's intellectual property, indemnification obligations, or Customer's payment obligations. Liability for a breach of data security or privacy obligations is capped at two times the amount in Section 15.1.

NORTHSTAR REDLINE: Customer deletes Sections 15.1 through 15.3 and proposes unlimited liability for all direct and indirect damages, including lost revenue, reputational harm, regulatory penalties, and replacement-service costs.

16. INSURANCE

During the term, Acme will maintain commercial general liability coverage of at least \$2,000,000 per occurrence, technology errors and omissions coverage of at least \$5,000,000, cyber liability coverage of at least \$5,000,000, workers' compensation as required by law, and automobile liability where applicable. Certificates of insurance will be provided upon request.

17. TERM AND TERMINATION

17.1 This Agreement begins on the Effective Date and continues until all Order Forms expire or are terminated. Each Order Form has the subscription term stated in that Order Form and renews for successive one-year periods unless either Party provides at least ninety days' written notice before the current term ends.

17.2 Either Party may terminate this Agreement or an affected Order Form for material breach if the breach remains uncured thirty days after written notice, or ten days for nonpayment. Either Party may terminate immediately if the other becomes insolvent, ceases business, or becomes subject to a bankruptcy proceeding not dismissed within sixty days.

17.3 Upon termination, Customer will stop using the terminated Services and pay accrued amounts. If Customer terminates for Acme's uncured material breach, Acme will refund prepaid fees for the unused terminated period. Sections intended by their nature to survive will survive.

NORTHSTAR REDLINE: Customer adds termination for convenience on thirty days' notice with a pro rata refund of all prepaid fees and no early termination charge.

18. COMPLIANCE WITH LAW

Each Party will comply with laws applicable to its performance. Customer will not use the Services in violation of healthcare, privacy, employment, export-control, or sanctions laws. Neither Party will offer or accept an improper payment in connection with this Agreement.

19. BUSINESS CONTINUITY

Acme will maintain and annually test business continuity and disaster recovery plans designed to restore material Services following a disruption. Upon request, Acme will provide a summary of current recovery objectives and the most recent test results, subject to confidentiality restrictions.

20. PUBLICITY

Neither Party may issue a press release or use the other Party's name, trademarks, or logos in public marketing without prior written consent. Acme may identify Customer in a factual customer list only after receiving written brand approval.

21. RECORDS AND AUDIT

Acme will retain records reasonably necessary to substantiate invoices and compliance with material contractual controls for at least three years. Customer may audit such records once annually through an independent auditor under confidentiality obligations, with thirty days' notice and during normal business hours.

22. DISPUTE RESOLUTION; GOVERNING LAW

Before filing litigation, senior representatives will meet in good faith to resolve a dispute. This Agreement is governed by Delaware law without regard to conflict-of-law rules. State and federal courts located in Wilmington, Delaware have exclusive jurisdiction, and each Party consents to venue there.

NORTHSTAR REDLINE: Customer replaces Delaware law and venue with Minnesota law and exclusive venue in Hennepin County, Minnesota.

23. NOTICES

Legal notices must be in writing and delivered by nationally recognized overnight courier or certified mail to the addresses above, with a copy by email to legal@acmerobotics.example for Acme and contracts@northstar.example for Customer. Notices are effective upon confirmed delivery.

24. ASSIGNMENT

Neither Party may assign this Agreement without the other's prior written consent, except to an Affiliate or in connection with a merger, reorganization, or sale of substantially all relevant assets, provided the assignee is not a direct competitor and assumes all obligations. An impermissible assignment is void.

25. FORCE MAJEURE

Neither Party is liable for delay caused by events beyond its reasonable control, excluding payment obligations. The affected Party will provide prompt notice, use reasonable efforts to mitigate, and resume performance as soon as practicable.

26. GENERAL

This Agreement and incorporated documents constitute the entire agreement and supersede prior discussions concerning their subject matter. Amendments and waivers must be in writing and signed by authorized representatives. If a provision is unenforceable, it will be modified to the minimum extent necessary and the remaining provisions remain effective. The Parties are independent contractors. Electronic signatures and counterparts are effective.

SIGNATURES

ACME TECHNOLOGIES, INC.	NORTHSTAR HEALTH SYSTEM
By: _____	By: _____
Name: Elena Martinez	Name: Marcus Bennett
Title: Chief Revenue Officer	Title: Chief Procurement Officer
Date: _____	Date: _____

EXHIBIT A - INITIAL ORDER SUMMARY

Commercial Term	Agreed Draft Value
Services	Workflow Analytics, Operations Console, Premium Support
Subscription term	36 months
Annual recurring fees	\$2,400,000
Implementation fees	\$325,000 fixed fee
Payment terms	Acme: Net 45; Northstar redline: Net 90
Production facilities	Five United States facilities
Target production date	November 30, 2026

EXHIBIT B - NEGOTIATION ISSUE REGISTER

Clause	Customer Position	Risk	Required Review
6. Fees	Net 90 plus unilateral offset	High	Finance and Legal
7. Service Levels	Uncapped credits and broad termination	High	Service Owner and Finance
10. Security	12-hour notice and unlimited audits	High	Security and Privacy
15. Liability	Unlimited direct and indirect damages	Critical	Legal VP and Finance
17. Termination	Convenience termination with full refund	High	Finance and Legal
22. Governing Law	Minnesota law and venue	Medium	Legal

This synthetic agreement is designed for contract-lifecycle demonstrations. Names, addresses, terms, and legal provisions are fictional and must not be used as legal advice or as a production agreement.